

HEADLINE JUDGMENT

Note: 21 Jul figures are intraday prints; 20 Jul is now a final close (\$87.14 Brent). Restated continuation series (front-month CO2/CL2) in force. Score HOLDS at 25/30 — all six channels unchanged — but the plateau is CRACKING: the 20 Jul US session repriced the war for the first time since mid-July. Brent closed \$87.14, the highest close since 12 Jun; the 30Y closed 5.113%, the highest close since 20 May; TTF closed €58.74, the highest since 20 Mar; 5Y5Y closed back above the 2.20% line (2.206%) for the first time since 14 Jul; and MOVE rose to 72.66. The drivers were physical, not headline noise: US bombing entered a ninth consecutive day, Iran disabled two tankers attempting transit and struck electricity and desalination infrastructure in Kuwait and Bahrain, and the mediation track is dead — talks collapsed over the strait-control MoU with no successor venue. Yet no trigger fired. Oil needs a sustained close above \$95 (\$7.86 above the 20 Jul close); US-inflation needs 5Y5Y sustained above 2.30% (9.2 bp away); Treasury is already maxed and its downgrade is now remote (30Y 11 bp above 5.00%); political is data-lagged — AAA last printed \$4.61 (17 Jul), 14 cents from \$4.75, with the 18–21 Jul prints pending; at the recent 4–5c/session pace those pending prints may land at the threshold. Both event channels are maxed at 5, so further geopolitical deterioration cannot raise the score — the hold is an artifact of the scale, not evidence of stability. Sequencing 25 → 25 → 25.

1 · Live tape

Oil and natural gas — Bloomberg front-month / active

21 Jul 2026 readings are intraday prints; 20 Jul and earlier are final closes (restated continuation series; front-month CO2/CL2). d/d deltas are 21 Jul intraday vs 20 Jul close; w/w deltas are vs 14 Jul close.

Benchmark	Intraday 21 Jul	Δ d/d	Δ vs pre-war close (27 Feb)	BBG ticker
Brent front-month	\$86.61 /bbl (H 87.10 / L 86.54)	−\$0.53 (+\$3.29 w/w)	from \$72.48 (+19.5%) — ~\$14.1/bbl premium; the 20 Jul close \$87.14 was the highest since 12 Jun; \$8.4 below the \$95 oil→3 trigger	CO2 Comdty
Brent · 20 Jul close (final)	\$87.14 /bbl (−\$0.90 vs my 20 Jul intraday \$88.04)	came off the Asia-session high but still the highest close since 12 Jun	the plateau ceiling (\$82–84) has broken; the range has shifted up to \$84–89	CO2 Comdty (Close)
WTI front-month	\$82.13 /bbl	−\$0.35 (+\$3.45 w/w)	from \$67.02 (+22.5%)	CL2 Comdty
Brent–WTI spread	\$4.48 /bbl	−\$0.18 d/d	wide	derived
Henry Hub natural gas	\$2.85 /MMBtu	−\$0.01 (−\$0.06 w/w)	from \$3.06 (−7.0%) — US gas BELOW pre-war (domestic); not Hormuz-exposed	NGA Comdty
TTF Dutch gas (active)	€57.59 /MWh	−€1.16 (+€4.63 w/w)	from €31.23 (+84.4%) — the 20 Jul close €58.74 was the highest since 20 Mar; 20% of global LNG transits the strait	TZTA Comdty
Japan/Asia LNG (17 Jul close — latest print; no 20–21 Jul prints in the sheet)	¥3,281	+¥41 on its last session	from ¥1,669 (+96.6%) — the most-stressed energy gauge; Qatari LNG strait-locked	JGLA Comdty
Strait · ninth day of strikes	US bombing entered a ninth consecutive day; Iran disabled two tankers attempting transit, struck electricity and desalination infrastructure in Kuwait and Bahrain, and claims hits on US installations in Aqaba (unconfirmed). Mediation is dead — talks collapsed over the strait-control MoU.			NPR / Reuters / maritime trackers
Insurance & traffic	Transit volume ~11% of normal (10 vessels vs the usual 88, 12 Jul count); war-risk cover ~8× pre-crisis, VLCC premiums ~\$2.5m, six P&I; clubs withdrawn; ~475 ships anchored in the region; 37 tankers AIS-dark in 24h.			straits.live / Windward / CNBC

US Treasuries and inflation expectations — Bloomberg

21 Jul 2026 yields are intraday. d/d deltas are 21 Jul intraday vs 20 Jul close; w/w deltas are vs 14 Jul close. The re-anchoring is reversing at the margin: the long end printed its highest close since 20 May and forward inflation is back above the 2.20% line.

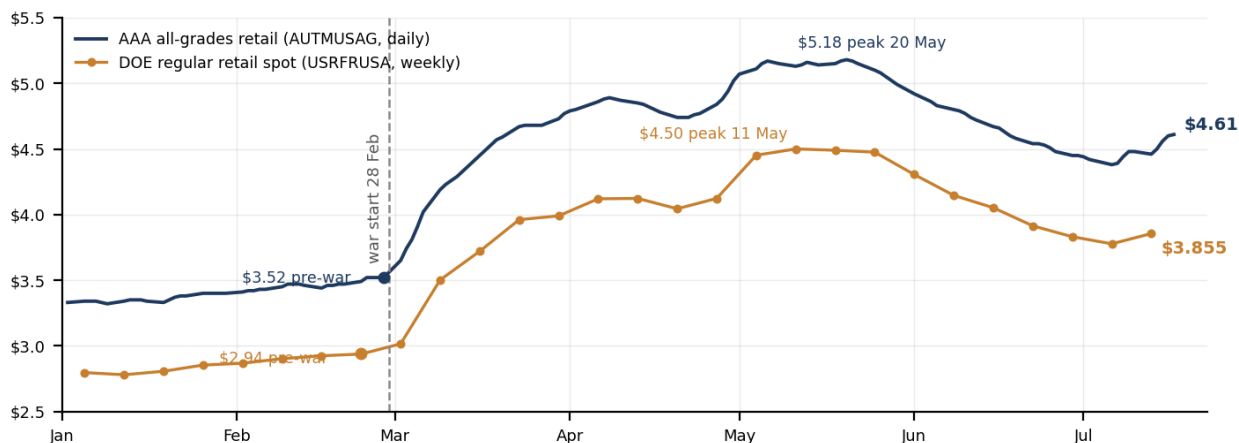
Tenor	Yield (%) — intraday 21 Jul	Δ d/d (bp)	Δ w/w (bp)	Δ vs pre-war (bp)	BBG ticker
2-year UST	4.20	−0.2	+1.1	+83 (from 3.37%)	USGG2YR Index
5-year UST	4.32	−0.4	−0.3	+82 (from 3.50%)	USGG5YR Index
10-year UST	4.59	−0.2	+0.0	+65 (from 3.94%) — 6 bp below the 4.65% Stage-4 leg	USGG10YR Index
30-year UST	5.11	−0.1	+0.7	+50 (from 4.61%) — the 20 Jul close 5.113% was the highest since 20 May; 11 bp above 5.00% (Treasury stays 5); 9 bp below the 5.20% Stage-4 leg	USGG30YR Index

Tenor	Yield (%) — intraday 21 Jul	Δ d/d (bp)	Δ w/w (bp)	Δ vs pre-war (bp)	BBG ticker
2s10s spread	+38 bp	+0.4	−0.9	−17 (flatter)	USYC2Y10 Index
10Y breakeven inflation	2.26	+0.0	−0.3	−0.0 (from 2.257%) — exactly back AT the pre-war anchor	USGGBE10 Index
5Y5Y forward inflation	2.21	+0.2	−0.0	+7 (from 2.14%) — closed back ABOVE the 2.20% line (2.206%) for the first time since 14 Jul; 9.2 bp below the 2.30% →5 trigger	USGG5Y5Y Index
SOFR (lagged print, 17 Jul)	3.59	—	—	series lags	SOFRRATE Index

Cross-asset stress and political-transmission gauges — Bloomberg

Latest	As of	Δ vs pre-war	Interpretation
DXY 100.97	21 Jul intraday	+3.37 (from 97.61)	Rangebound ~101 — no haven bid; the dollar is not the stress valve.
MOVE 72.66	20 Jul close (21 Jul lagged)	−0.72 (from 73.38)	Rose from 68 to 72.66 over three sessions — still below the 75 Treasury vol leg and below pre-war, but the unwind has stopped; bond vol is re-building with the long-end sell-off.
VIX 18.65	20 Jul close (21 Jul lagged)	−1.21 (from 19.86)	Up from 15.7 (15 Jul) to 18.65 — still below pre-war, but equities are no longer pricing pure stalemate.
AAA gasoline \$4.61 /gal	17 Jul print (latest; 18–21 Jul prints pending)	+\$1.09 (from \$3.52, +31%)	The political-stress reference (pre-war \$3.52, peak \$5.18). Rising 4–5c/session before the data gap; 14 cents below the \$4.75 threshold — the pending prints may land at the trigger.
DOE gasoline \$3.855 /gal	13 Jul weekly (20 Jul print pending)	~+\$0.92 (from ~\$2.94, +31%)	Regular-grade spot; the next weekly print should confirm the crude premium feeding through.

US retail gasoline — the two tracked series, 2026 year-to-date



AUTMUSAG (AAA all-grades retail pump, daily) is the political-stress score reference (pre-war \$3.52, peak \$5.18, latest \$4.61 on 17 Jul); USRFRUSA (DOE regular-grade retail spot, weekly) is the complementary gauge (pre-war ~\$2.94, peak \$4.50, latest \$3.855 on 13 Jul). The AAA line rose in seven of its last eight prints (\$4.38 → \$4.61) before the sheet's 18–21 Jul prints went missing; it sits 14 cents from the \$4.75 political→5 threshold. At the recent 4–5c/session pace the pending prints would reach the trigger — the channel is evaluated on confirmed prints only, so the score holds until the data lands.

Strait operational state

Indicator	Current reading	Source
Strait closed · day ~142	Closed to commercial traffic since 12 Jul (blockade regime since 28 Feb war start); the US runs a naval blockade plus escort operation; the Persian Gulf Strait Authority governs passage. Iran conditions transit on its own coordination and fees.	CENTCOM / maritime trackers
Two tankers disabled 20 Jul	Iranian forces disabled two oil tankers attempting transit without permission; a British military vessel reportedly caught fire near Oman's coast. Follows the 14 Jul cruise-missile strikes on the UAE tankers Mombasa and Al Bahiyah (one crew member killed).	NPR / OilPrice / UAE MoD
Ninth consecutive day of US strikes	US strikes hit bridges and electrical infrastructure in southern Iran; 3 more US service members killed (17 total). Iran struck electricity and desalination plants in Kuwait and Bahrain and claims hits on Aqaba, Jordan (unconfirmed by the US) — Tier 3, labelled.	NPR / IRGC (Tier 3)
Mediation dead	Talks collapsed over the memorandum of understanding on strait control; no successor venue named after Oman was compromised (Duqm strike, 16 Jul).	NPR / Reuters
Traffic and insurance	Transits ~11% of normal (10 vs 88/day, 12 Jul); ~475 ships anchored; 37 tankers AIS-dark in 24h; war-risk cover ~8× pre-crisis, VLCC premium ~\$2.5m; six P&I; clubs have withdrawn; all nine major container carriers rerouting via the Cape (~2 weeks added).	straits.live / Windward / CNBC

2 · US economic shock — analysis with bond yields

The US economic shock holds at 25/30, but the character of the hold has changed: for three editions this was a plateau with the market looking through the war; the 20 Jul session was the first genuine re-pricing since mid-July. Brent, the 30Y long bond and TTF all printed multi-week or multi-month closing highs on the same day, forward inflation moved back above the 2.20% line, and bond vol has stopped falling. Nothing crossed a trigger — so no channel moved — but every market channel ended the session closer to its upgrade than it started the week. The direction of travel has turned back up.

2.1 · Bond-yield transmission

21 Jul yields are intraday; d/d vs 20 Jul close, w/w vs 14 Jul. No channel moved; score held at 25.

(i) Treasury — held at 5; the hold has re-hardened. The 30Y closed 20 Jul at 5.113% — the highest close since 20 May — and prints 5.111% intraday. The price leg now has an 11 bp cushion above 5.00% (it was 7 bp on 17 Jul), and MOVE has risen from 68.2 to 72.66. The downgrade trigger (30Y close under 5.00% with MOVE under 75 sustained) required the de-escalation to deliver; instead the long end sold off. What was a hysteresis-held 5 is becoming a fundamentals-held 5 again — term premium plus a re-building risk premium around a closed strait.

(ii) Inflation anchor — held at 4; back above the line. 5Y5Y closed 20 Jul at 2.206% — the first close back above the 2.20% line since 14 Jul — and prints 2.208% intraday. The 10Y breakeven (2.257%) is exactly back at its pre-war anchor. The channel needed three sessions of hysteresis to survive the mid-July dip; that dip is over. The 2.30% →5 trigger is 9.2 bp away and the gauge is rising again; the downgrade (a sustained move to the 2.142% anchor) is now 6.6 bp below spot and receding.

(iii) Oil — held at 2; the plateau ceiling broke. The 20 Jul close \$87.14 took out the \$82–84 plateau that had held since 14 Jul and is the highest close since 12 Jun; the intraday \$86.61 consolidates rather than reverses it. The premium is ~\$14.1/bbl (+19.5% vs pre-war); WTI +22.5%. The \$95 →3 trigger is \$7.86 above the confirmed close — the closest a close has been since 12 Jun. The bypass pipelines still cap the physical shock, but two more tanker kills and strikes on Gulf civilian infrastructure are exactly the inputs that erode the containment narrative.

2.2 · What would push the shock to Stage 4

Stage 4 is a credit/auction event. Threshold B is re-arming after receding mid-week.

Threshold A · 13 May 30Y auction. Historical. Cleared at 5.050%. With the 30Y closing 5.113%, the next long-bond auction is again a live demand test above the May clearing level.

Threshold B · 30Y above 5.20% with 10Y above 4.65%. Re-arming. The 30Y (5.111%) is 8.9 bp below 5.20%; the 10Y (4.590%) is 6.0 bp below 4.65%. On 17 Jul the gaps were 11 and 9 bp; both legs tightened in one session. The 13 Jul near-miss (3 bp) remains the closest approach.

Threshold C · MOVE above 130. Far. MOVE 72.66, VIX 18.65 — both below pre-war, but both rising for the first time in two weeks.

2.3 · Cross-asset

The re-pricing is orderly, not panicked — and that is what makes it durable. MOVE (72.66) and VIX (18.65) remain below their pre-war closes even as Brent, the 30Y and TTF print multi-week highs: the market is not buying vol, it is re-marking levels. The dollar is flat (~101), so there is no haven bid absorbing the move. The gas complex remains the most stressed corner — TTF closed at its highest since 20 Mar (+84% vs pre-war), Asia LNG +97% at its last print, while US Henry Hub sits 7% BELOW pre-war — the signature of a Hormuz/LNG-routing shock, not a global-energy shock. The asymmetry is unchanged: a Gulf energy-infrastructure hit or hard evidence of sustained lost cargoes breaks the bypass-pipeline cushion and moves oil, breakevens and bond vol together. The 20 Jul session was a preview of that convexity at low amplitude.

3 · Shock score

Total: 25/30 — CRISIS band. Band thresholds: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis.

Channel	Score	Rationale	Triggers
Maritime denial	5/5	Held at 5 (max). Strait closed to commercial traffic; transits ~11% of normal; Iran disabled two more tankers on 20 Jul; ~475 ships anchored; six P&I; clubs withdrawn. No verified reopening.	↑ at max. ↓ verified reopening (escorted convoys) with traffic above 25% of normal for 10 sessions → to 3–4.
Oil price shock	2/5	Held at 2. The 20 Jul close \$87.14 broke the plateau — highest since 12 Jun; intraday \$86.61 (+19.5% vs pre-war, ~\$14.1 premium). \$7.86 below the \$95 trigger on a close basis — the closest since 12 Jun.	↑ Brent above \$95 sustained → to 3. ↓ mediated pause + close back at/below the \$72.48 anchor → to 1.
US inflation impulse	4/5	Held at 4. 5Y5Y closed back ABOVE the 2.20% line (2.206%, first since 14 Jul) and prints 2.208%; 10Y BE exactly at its pre-war anchor. Rising again — 9.2 bp below the →5 trigger.	↑ 5Y5Y sustained above 2.30% → to 5. ↓ 5Y5Y sustained at/below the 2.142% pre-war anchor → to 3.
Treasury stress	5/5	Held at 5 — re-hardened. 30Y closed 5.113% (highest since 20 May), 11 bp above the 5.00% leg; MOVE 72.66 rising but under 75. The hysteresis hold has become a fundamentals hold.	↑ at max. ↓ 30Y close under 5.00% with MOVE under 75 sustained → to 4.
Political stress	4/5	Held at 4 — data-lagged at the threshold. AAA \$4.61 (17 Jul print, latest available), 14c below \$4.75; the 18–21 Jul prints are pending and the recent pace (4–5c/session) would put them at the trigger. Evaluated on confirmed prints only.	↑ gasoline above \$4.75 sustained → to 5. ↓ toward the \$3.52 pre-war level → to 3.
Escalation risk	5/5	Held at 5 (max). Ninth consecutive day of US strikes; Iran hit Kuwait/Bahrain electricity and desalination plants and claims Aqaba strikes; 17 US dead; mediation collapsed over the strait-control MoU with no successor venue.	↑ at max. ↓ mediated stand-down + talks resume → to 4–3.
TOTAL	25/30	CRISIS band — fifth session at 25, but the plateau is cracking: Brent, 30Y and TTF printed multi-week closing highs on 20 Jul and 5Y5Y is back above 2.20%. Political →5 (data pending) and oil →3 are the nearest moves up; with both event channels maxed, only market channels can move the score.	

4 · What's changed since the last edition (20 Jul → 21 Jul AM)

Score holds at 25/30 for a fifth session — but the tape turned. No channel moved; every market channel ended closer to its upgrade trigger. Source: Bloomberg.

The 20 Jul close repriced the war. Brent \$87.14 — \$0.90 below my 20 Jul intraday (\$88.04) but still the highest close since 12 Jun and a break of the \$82–84 plateau; 30Y 5.113% (highest since 20 May, +4.4 bp above the carried 17 Jul close I published); TTF €58.74 (highest since 20 Mar); 5Y5Y 2.206% (back above 2.20%); MOVE 72.66 (from 70.88). Source: Bloomberg.

Ninth consecutive day of US bombing; Iran hits Gulf civilian infrastructure. US strikes hit bridges and electrical infrastructure in southern Iran; Iran struck electricity and desalination plants in Kuwait and Bahrain and claims hits on Aqaba (unconfirmed). Three more US service members killed — 17 total. Source: NPR.

Two more tankers disabled. Iranian forces disabled two tankers attempting transit without permission (20 Jul); a British military vessel reportedly caught fire near Oman's coast. Follows the 14 Jul UAE-tanker cruise-missile strikes. Source: NPR / OilPrice / maritime trackers.

Mediation formally dead. Talks collapsed over the memorandum of understanding on strait control; no successor venue has emerged since Oman was compromised. Source: NPR / Reuters.

Gasoline data gap at the worst moment. The sheet carries no AAA prints for 18–21 Jul; the last print (\$4.61, 17 Jul) sits 14c from the political→5 trigger with the series rising 4–5c/session into the gap. The channel holds at 4 pending confirmed prints. Source: AAA / Bloomberg.

5 · Scenario map · next 7 to 30 days

Scenario	P	Description	Market path
Return to full war	38%	The modal path, reinforced: a ninth consecutive day of strikes, Gulf civilian infrastructure (power, desalination) now targeted, no mediation venue left, and both sides escalating rhetoric after 17 US deaths.	Brent \$105–140; MOVE above 90; oil to 3–4, political to 5, US-inflation back to 5; score 28–30.
Contained but violent — blocked stalemate	25%	Strikes continue but stay off major energy infrastructure; escort-only transits; the bypass pipelines keep capping crude. The 20 Jul re-pricing argues this is eroding.	Brent \$84–92; MOVE 70–80; risk premium \$12–20/bbl; score 25–26 as political→5 lands.
Deal collapse — MoU formally lapses	21%	The strait-control MoU is declared void; sanctions harden; the strait stays shut; fighting persists at high intensity without full-war targeting.	Brent \$90–106; oil to 3; 10Y above 4.65%, 30Y above 5.20% (Stage-4 B trips); score 26–27.
Regional relapse — Gulf energy infrastructure hit	9%	Iran extends the Kuwait/Bahrain infrastructure template to Abqaiq/Ras Tanura/Fujairah or the bypass pipelines — removing the last cushion. The desalination strikes are the nearest precedent yet.	Brent \$150+; emergency policy; HY spreads above 500 bp; score 29–30.
Mediated pause — new venue succeeds	7%	Qatar/Pakistan/Turkey open a fresh channel and a safe-passage deal sticks; strikes halt, the blockade lifts, escorted traffic rebuilds.	Brent \$70–84; MOVE under 68; Treasury→4, US-inflation→3, escalation→4; score falls toward 20–22.

Probability shifts from the 20 Jul edition: return to full war +2 (36→38) — the ninth day of bombing, the civilian-infrastructure strikes and the tanker kills all point to intensification; contained-but-violent –1 (26→25); deal collapse –1 (22→21); regional relapse +1 (8→9) on the desalination-plant precedent; mediated pause –1 (8→7) with no venue in sight. Driver: the market itself has started to agree — the 20 Jul re-pricing across oil, the long end and European gas is the tape catching up with the score.

6 · Watchlist · next 24–72 hours

Political →5 (\$4.75) — the most imminent move, now data-gated. AAA last printed \$4.61 (17 Jul), 14c from the threshold, rising 4–5c/session into a four-session data gap. When the 18–21 Jul prints land they may already be at/through \$4.75 — which would take the score to 26 on confirmed prints.

Oil →3 (\$95). The 20 Jul close \$87.14 is the closest confirmed close since 12 Jun; \$7.86 to the trigger. A Gulf-infrastructure hit or evidence of sustained lost cargoes closes that gap fast; the bypass pipelines remain the swing.

Stage-4 Threshold B (30Y above 5.20% + 10Y above 4.65%). Re-arming — gaps tightened to 8.9/6.0 bp from 11/9 bp in one session. A weak long-bond auction or another leg of the re-pricing trips it; that is the score's bridge from 25–26 toward the systemic scenarios.

US-inflation →5 (5Y5Y above 2.30% sustained). Back above 2.20% and rising; 9.2 bp away. Watch whether the breakeven complex follows crude's break of the plateau — the 10Y BE is already back at its pre-war anchor.

Hysteresis downgrades — now remote. Treasury→4 needs a 30Y close under 5.00% (11 bp below spot) with MOVE under 75; US-inflation→3 needs 5Y5Y at the 2.142% anchor (6.6 bp below). Both require a de-escalation that has no vehicle with mediation dead.

Gulf energy infrastructure — the tail. The Kuwait/Bahrain power-and-desalination strikes are the closest the war has come to the energy-infrastructure scenario. Abqaiq/Ras Tanura/Fujairah or the bypass pipelines remain the score's 29–30 path.

Gas complex. TTF closed at its highest since 20 Mar (+84% vs pre-war); Asia LNG +97% at its last print with two sessions of prints now missing from the sheet — verify the next JGLA print rather than carrying stale values. Watch European/Asian demand-rationing headlines.

7 · Source log · this edition

Tier 1 — primary market data. Bloomberg Terminal extract (US Iran BBG Data.xlsx, restated front-month continuation series). Tickers: CO2/CL2 Comdty (Brent/WTI front-month); NGA/TZTA/JGLA Comdty (JGLA latest print 17 Jul — no 20–21 Jul prints in the sheet, flagged); USGG2YR/5YR/10YR/20YR/30YR Index; USYC2Y10; USGGBE10; USGG5Y5Y; SOFRRATE (lagged, 17 Jul); MOVE and VIX (20 Jul closes; 21 Jul lagged); DXY; AUTMUSAG (AAA pump — score reference; latest print 17 Jul, 18–21 Jul pending) and USRFRUSA (DOE regular spot, weekly — corroboration; latest 13 Jul).

Tier 1 — news and institutional. NPR (ninth consecutive day of strikes; 17 US dead; Kuwait/Bahrain electricity and desalination strikes; two tankers disabled; talks collapsed over the strait-control MoU), Reuters, CNBC (tanker-attack escalation, war-risk insurance), OilPrice (14 Jul UAE tanker strikes: Mombasa, Al Bahiyah), maritime trackers (straits.live day-141 count 20 Jul, transit ~11% of normal, 475 anchored, 37 AIS-dark, 8× war-risk cover, six P&I; withdrawals, nine container carriers rerouting), Windward, IMF PortWatch, US CENTCOM, Federal Reserve.

Tier 3 — state media (labelled). IRGC/Iranian claims — the strikes on US installations in Aqaba (Jordan), the characterisation of the disabled tankers as “destroyed,” and casualty figures (3,000 dead claimed) — are labelled Tier 3 and corroborated against NPR / Reuters / CENTCOM before any market-moving use; the US has not confirmed the Aqaba hits. IRNA, Tasnim, Mehr, Press TV used only with explicit role labels.

8 · On-demand update protocol

#	Step	Detail
1	Refresh the Bloomberg extract	Parse the latest dated row (21 Jul) as intraday; reclassify 20 Jul as a final close; re-map columns via the robust scan (front-month CO2/CL2; both gasoline series; JGLA checked fresh — no 20–21 Jul prints, flagged rather than carried silently).
2	Recompute deltas	d/d vs the 20 Jul close; w/w vs the close five trading sessions back (14 Jul this edition); vs-pre-war vs the 27 Feb 2026 anchor (re-verified, unchanged).
3	Re-evaluate the six channels	Market channels move on confirmed closes only — all held: oil 2 (close \$87.14, under \$95); Treasury 5 (30Y 5.113% above 5.00%); US-inflation 4 (5Y5Y 2.206%, under 2.30%); political 4 (AAA \$4.61 lagged, under \$4.75). Maritime/escalation event-based, both maxed.
4	Reconcile against the prior edition	The 20 Jul close came in \$0.90 below my 20 Jul Brent intraday (\$88.04 → \$87.14) but the 30Y closed 4.4 bp ABOVE the carried 17 Jul value (5.069% → 5.113%) and MOVE 1.8 pts higher (70.88 → 72.66) — the US session sold the long end while Asia had marked oil off its high.
5	Update scenarios and watchlist	Re-rank catalysts: political→5 (data-gated at 14c), oil→3 (\$7.86 on a close basis), Stage-4 B (8.9/6.0 bp), US-inflation→5 (9.2 bp); full-war 38% now clearly modal.

9 · Methodology

Shock-score scale. Six transmission channels (maritime denial, oil price shock, US inflation impulse, Treasury stress, political stress, escalation risk), each 0–5, summed to 0–30. Bands: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis. Market/economic channels move only on a confirmed close through a trigger; escalation-risk is event-based. **Hysteresis note:** upgrades fire on a sustained break; downgrades only on a sustained reversal past a wider threshold — deliberately, to avoid whipsawing. Treasury (5) was held through 15–17 Jul on hysteresis when MOVE fell below 75, because the downgrade also requires a 30Y close under 5.00%; the 20 Jul long-end sell-off has since re-validated the hold on fundamentals. US-inflation (4) was held through the mid-July 5Y5Y dip below 2.20%; that dip has reversed. **Scale cap:** maritime and escalation are both at 5/5, so further geopolitical deterioration cannot raise the score — only the four market channels can. A flat 25 must not be read as stability.

Gasoline series. Political-stress is scored on AUTMUSAG (AAA all-grades retail pump; pre-war \$3.52, peak \$5.18, latest confirmed print \$4.61 on 17 Jul) for continuity; the 18–21 Jul prints are pending in the extract and the channel holds until they are confirmed. USFRUSA (DOE regular-grade retail spot; pre-war ~\$2.94, peak \$4.50, latest \$3.855 on 13 Jul) is tracked alongside. See the chart in section 1.

Pre-war anchor (27 Feb 2026 close). Brent \$72.48; WTI \$67.02; 2Y 3.375%; 5Y 3.502%; 10Y 3.938%; 30Y 4.611%; 2s10s +55.64 bp; 5Y5Y 2.142%; 10Y BE 2.257%; MOVE 73.38; VIX 19.86; DXY 97.608; gasoline (AAA) \$3.52; Henry Hub \$3.06; TTF €31.23; Asia LNG ¥1,669. (Re-verified — unchanged.) Brent +19.5%, WTI +22.5%, TTF +84.4%, Asia LNG +96.6%; the 30Y (+50 bp), 5Y5Y (+7 bp) and DXY (+3.4) sit above; the 10Y BE is exactly at anchor; MOVE, VIX and US Henry Hub are below pre-war — the vol gauges lag the level re-pricing that began on 20 Jul.

Intraday caveat. The latest dated row is a Singapore-AM intraday snapshot; US-hours trading and headlines set the close (recent reconciliation gaps: +\$1.17, +\$1.99, +\$4.01, +\$2.46, −\$0.90 on Brent). Market-channel triggers are evaluated on confirmed closes; escalation-risk is event-based. Absolute levels use the restated continuation series and are not directly comparable with pre-restatement editions, though the directional analysis is continuous.